AGRIFIELDS DMCC

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JBC5, Unit 705, Cluster W,
Jumeirah Lake Towers,
Dubai, **U.A.E**

SALES CONTRACT

Contract Number: SC Contract Dated:

1.**M/S BHILAI ENGINEERING CORPORATION LTD.**. ("the Buyer")
Fertilizer Division, Sector 'A' Sirgitti Industrial Area, Bilaspur (C.G).India. PIN 495004.

2.**AGRIFIELDS DMCC** (the "Seller")
JBC5, Unit 705, Cluster W,
Jumeirah Lake Towers,
Dubai, U.A.E,
111225

Description of Goods:

Product Description	Quantity	UOM	Price	Incoterms	Loading Port	Loading Country	Discharge Port	Discharge Country
Merchant Grade Phosphoric Acid Solution (P2O5 52% - 54%)	10,000.000	MTS	970.00	CIF	Jebel Ali	U.A.E	Chennai Port	India
[Product Specification: As per annexure I]								

Shipment Conditions:

Tentative Loading lay can: 23-30th Aug'22 Tentative arrival lay can at Mangalore Port: 07-11 September'22; Seller shall strive for advancement of arrival laycan at Mangalore port on best endeavor basis

Payment terms:

Payment will be effected through irrevocable interest free letter of credit payable at 30 days from the date of bill of lading (Buyer has the option to avail credit beyond 30 days and upto 180 days from BL date, for which Interest will be applicable beyond 30 days and up to 180 days on 3% p.a and to be added to CFR price further). L/C to be opened 7 working days prior to commencement of load port laycan. All Bank charges and expenses in connection to the L/C inside India will be to Buyer's Account, whereas all LC Charges/expenses outside India including advising and Confirming Bank Charges will be to Sellers's account. Reimbursing Bank Charges, if any shall be to Buyer's Account. LC Amendment charges to the Party occasioning the amendment. LC to be issued through a mutually agreed First class bank in India. Buyer may avail, at his option, supplier's credit/RA Financing through Applicant's/ Buyer's bank for credit beyond 30 days/180 days and up to 360 days. Suitable clauses in this regard will be incorporated in the LC. Usance interest from 31st day/181st day onwards up to 360th day will be to the account of Buyer/applicant.

Seller’s Bank Details:

Beneficiary Name: Agrifields DMCC

Bank Name: ICICI BANK LTD, DUBAI, UAE

SWIFT: ICICAEADXXX

Documents:

The following documents shall be presented by seller for payment and L/C Negotiation:

- Commercial invoice issued by seller [3 Originals + 3 Copies]
- Full set of 3/3 Original marked “Clean on Board” and “freight payable as per charter party” bill of lading [3 Originals + 3 Non-Negotiable Copies].
- Certificate of Origin issued in FORM AI issued by Vietnam Chamber of Commerce under ASEAN-India Preferential Trade Agreement (1 Original + 3 Copies) to be couriered directly to the address of Buyer (Outside LC).
- Certificate of cleanliness of vessel tanks issued by internationally reputed inspection agency [1 Original + 3 Copies]
- Certificate of Quality/Analysis issued by internationally reputed inspection agency [1 Original + 3 Copies]
- Certificate of Quantity/Weight issued by internationally reputed inspection agency [1 Original + 3 Copies]
- Ullage Report pertaining to Quantity loaded in to the Vessel issued by Independent Inspection Agency [1 Original + 3 Copies]

In order to claim preferential rate of duty in accordance with rules of origin (ROO) criteria and commitments specified under India’s FTA as per Customs (Administration of Rules of Origin under Trade Agreements) Rules, 2020 (CAROTAR 2020), Seller is obligated to provide declaration letter and manufacturing process disclosure within 5 working days after sailing of vessel from Load port.

Vessel Nomination

Seller shall get Buyer's confirmation before clean/firm fixing the vessel basis 300 MTPH SHINC solution discharge rate with 4 kg /cm2 minimum vessel's manifold pressure, provided shore facilities permit. Vessel to provide suitable reducer for shoreline connection. Seller has option to substitute vessel if needed but such substitution should be informed to and be accepted within 24 hours by Buyer. The Seller shall advise the Buyer of the name of vessel with following details and nominate the vessel to Buyer at least fifteen (15) days prior to commencement of lay days in order to enable Buyer to decide on the acceptability of the vessel and buyer to make the necessary preparation for discharging.

Vessel must be sea worthy and must have all required valid documents/ certificates. Vessel must be classed in accordance with the Institute Classification Clause of the International Association of Classification Society (IACS). Vessel should be classified by a Society that is a member of International Association of Classification Society (IACS) in force at the time of shipment & all vessel certificates should be valid throughout the voyage; Vessel must have full and valid Protection and Indemnity insurance placed with a P&I Club which is a member of the International Group of P&I Clubs and shall be as approved by DG Shipping, India approved list; Vessel shall have the wreck removal clause specifically indicated under the P & I certificate. Vessel to be max 25 years of age. Performing vessel shall be free from all maritime lien or maritime claim.

Vessel and the Vessel's owner will be fully compliant with the international safety management code ("ISM") and Seller, if requested, shall provide Buyer with a copy of the appropriate ISM documentation.

Vessel so nominated shall be compliant with the requirements of the International Code for the Security of Ships and Port Facilities and the relevant amendments to Chapter XI of SOLAS (ISPS Code) [and where the discharge port is within the USA and US territories or waters, with the US Maritime Transportation Security Act 2002 (M TSA)].

Vessel with flag of countries under OFAC or US sanctions as declared by Indian banks will not be used by the seller. Vessel shall conform to 100-A.1 classification of Lloyds or equivalent and age of Vessel should not be more than 25 years. Any extra insurance premium payable on vessel due to the Vessel's age or Class or flag shall be to Seller's account and if, paid by the Buyer, the same shall be refunded by the Seller by Telegraphic Transfer to the Buyer's designated account within 30 days from the receipt of claim by Buyer. The vessel provided shall be submitted to regulations ruling at the unloading port including those relating to fire on board ships.

Discharge Port Limitations

Seller shall comply with the limitations of the discharging port concerning LOA, BEAM, DRAFT Night Navigation and Pilotage rules. Nominated vessel shall be suitable for berthing at Buyer's Discharge Port New Mangalore. The discharge port parameters are mentioned below:

a) Arrival draft not to exceed 9.5 meters

b) LOA: 190 meter

a. Max permissible DWT of vessel for berthing at Jetty No.4 - 30,000 MT. In case the subject vessel’s DWT is more than the permissible DWT of 30,000 MT, then it shall be Responsibility of vessel Owners/Their agents/Shipper’s to obtain permission from Port Authorities at their cost. (Note: This vessel shall have to be berthed only at berth No.4).

c) Vessel should be able to deliver Good air blow with minimum 4 kg/cm2 after the discharge.

d) Shippers shall ensure compliance to the DGS circular dated 16th October’19 , on prohibition of usage of Single use Plastics effective from 01st Jan’2020.

e). Seller shall arrange with the carrier to provide on board the vessel all fitting and pumping equipment necessary to permit unloading of the acid so as to achieve the average rate of 300 metric tons of Phos acid solution per hour stipulated in the contract. Buyer shall provide at its own expense suitable unloading line & handling equipment at the port of discharge.

Vessel should have reducers/connectors to connect to Buyer's Hose connection Flange. The size & specifications of buyer's flange are as follows: 8" x 150 LBS Rating ANSI Bl6.5.

Laytime at the discharging port will be calculated as the Bill of Lading quantity divided by the discharge rate of 300 metric tons per hour Phos acid solution, SHINC. The demurrage rate shall be as per the Charter Party of the performing vessel.

Vessel to tender NOR upon entering New Mangalore Port confirming the Vessels arrival and readiness for safe discharge of Cargo. If upon entering the Port, the vessel fails to obtain normal free pratique or for any other reason due to fault of vessel found unfit to discharge the cargo except the case due to failure of Buyer, then time shall cease to count as laytime until the vessel is fully ready to proceed for discharge. In such a case, NOR shall be retendered once the vessel is granted normal free pratique or once vessel is made fit and ready for safe discharge of cargo.

Lay-time shall commence 6 hours after the receipt of notice of readiness of the vessel or upon all fast whichever occurs first and shall end on disconnection of hoses. Lay-time allowed for discharge shall be determined, holidays included (SHINC).

If the vessel be unable to pump out the acid from the vessel to Buyer's terminal tank at so as to achieve the average rate of 300 MT Phos Acid solution per hour stipulated in the contract provided shore facility permits, time lost on account of the slow pumping attributable to the vessel shall not count as used lay-time.

Delivery of Goods:

Seller, in the absence of original Bill of Lading, agrees for the Buyer to take Delivery Order from the Owner's/Seller's agents at discharge port against submission of Letter of Indemnity on their letter head. Seller will issue the Letter of Indemnity to the vessel owners, if required.

Seller shall nominate suitable tonnage & vessel which is to be approved by Buyer within 24 hours and provide safe berth. Buyer to be responsible for safe discharging operations throughout.

Demurrage

Calculation of laytime and demurrage (if any) shall be in accordance with the contract terms herein stipulated. Demurrage rate shall be as per vessel acceptance. If the laytime utilized by Buyer at discharge port exceeds the time agreed in the contract, demurrage at discharge port shall be paid by the Buyer.

Marine Terms

To be mutually agreed upon other terms and conditions except such agreement shall be as per ASBATANKVOY Charter Party. The provisions stipulated in this contract shall, however supersede those of the ASBATANKVOY Charter Party wherever they are found to be at variance to each other.

Title:

Title to the goods/Product shall pass on to Buyer as the product is progressively loaded. Seller hereby expressly warrants that at the time of the title transfer he will have good title, free and clear of any liens or encumbrances, and that he has and will have the full right and authority to transfer such title and effect delivery to Buyer.

Risks:

The risk of loss or damage to the product shall pass on to Buyer as the product is progressively loaded.

Cargo Insurance:

Insurance of the cargo covering all risks shall be arranged by Buyer and at Buyer’s cost. The overage insurance premium (for vessel more than 25 years old) to be for Seller’s account.

Anti-Bribery and Corruption:

The parties each agree and undertake to the other that in connection with this Contract they will each respectively comply with the Indian Prevention of Money Laundering Act 2002 and all applicable laws, rules, regulations, decrees and/ or official government orders of India, UK, USA or other relevant Jurisdiction (including that of the Seller and the country of origin and of shipment) relating to anti-bribery and anti-money laundering. The parties each represent, warrant and undertake to the other that they shall not, directly or indirectly:

1. Pay, offer, give promise to give or authorize the giving of a bribe to any person, Individual or entity (including a public official);
2. Request, agree to receive or accept a bribe from any person, individual or entity; or
3. Engage in any other transaction.

In each case of this is in violation of or inconsistent with the anti-bribery and anti-money laundering legislation of any government, including but not limited to the UK Bribery Act 2010, the Proceeds of Crime Act 2002 and the US Foreign Corrupt Practices Act.

Further, the Seller undertakes that he has not given, offered or promised to give directly or indirectly any bribes, commission, gift, consideration, reward or Inducement to any employees of Consignee or their agent or relatives or agreeing to show favor or disfavor to any person in procuring this contract.

Incoterms

CFR and other trade terms that are defined in Incoterms have the meaning as defined in Incoterms® 2020 published by International Chamber of Commerce, except where those terms are inconsistent with the terms of the Contract, in which case the terms of the Contract shall prevail over the provisions of Incoterms® 2020 to the extent of any such inconsistency.

Ethical Dealing:

Seller represents and warrants that it has not given or received and shall not give or receive any commission, payment, kickback, secret rebate or other thing of value to or from any employee or agent of the other party or to any supplier of services in connection with this contract. Seller acknowledges that the giving or receiving of any such commission, payment, kickback, secret rebate or other thing of value constitutes a breach of ethical standards, is potentially violative of applicable law and may result in immediate termination of this and other outstanding agreements between the parties.

Compliance:

Seller, represents and warrants for itself and its respective affiliates, employees and agents to be aware of all economic sanctions laws, anti-boycott laws and trade restrictions imposed by the United Nations, the United State of America, the member states of the European Union and/or the country/ countries from which the goods may originate be shipped or discharged through which funds paid pursuant to the Contract may originate, pass or be received; as may be amended from time to time (the “Restrictions”). For the purpose of this clause “affiliates” means, in relation to either of the parties, any company controlling, controlled by, or under common control with that party, either directly or indirectly.

The Seller undertakes to comply (or cause their respective affiliates, employees and agents to comply) with the Restriction in all respects in relation to the performance of this Contract and any import acquisition from or export or resale to a third party. The warranty and undertaking contained in this clause refer in particular but not exclusively to the nominated Vessel (and whoever may own, control, operate or have chartered her; directly or indirectly), to Seller’s documentary instructions to any Intervening banks, and in general to any other person, company or entity involved in the performance of this Contract and any import or acquisition for or export or resale to a third party.

Seller (the “Indemnifying Party”) shall fully Indemnify the Buyer (the “Indemnified party”) and hold the Indemnified Party harmless for any loss, cost or damage suffered by its principals, affiliates, employees or agents, as a result of any intentional or unintentional breach of the Restrictions by the Indemnifying Party or any of the person, companies and entities comprised in the indemnifying party warranty and undertaking under the terms of this clause.

Nothing in this Contract is meant to require either party to take any action which is likely to place it or any of its respective affiliates, employees and agents in a position of non-compliance with, or in contravention of, the Restrictions.

Breach by the Seller of any warranty or undertaking in this clause shall be deemed to be a breach of condition of this Contract entitling the Buyer with notice to rectify the breach without prejudice to any of its rights against the party in breach and in respect of which there shall be no waiver unless expressly made in writing.

Determination of Quantity & Quality at Load/Discharge Port:

• At load port, the quantity of acid solution loaded on the vessel shall be determined by a mutually acceptable independent surveyor based on the ullage readings of the vessel tanks' reading, both before and after loading in accordance with the certified calibration tables. After completion of survey, all the nominated tanks shall be sealed by the independent surveyor.

• A mutually acceptable independent surveyor, appointed by Seller, shall, after completion of loading of the ship, draw one sample of the Product each from the upper, middle, and lower of each of the ship's tanks and such samples shall be mixed together in proportion to the quantity of the Product in each of the vessel's tanks, to form a composite sample which would be divided into four equal parts and sealed in four separate bottles. One such part shall be analyzed by the Seller for the elements given in Annexure-1 of the Contract. One sealed sample shall be retained by Seller. Two sealed samples shall be sent to the Buyer through the Master of the ship.

• Buyer shall have a right to depute, at his own expense an independent international surveyor to be present at the time of loading to view weight and quality determination of Phosphoric Acid Solution being loaded. But the exercise or non-exercise of such right by Buyer shall not absolve seller from the obligation to supply the goods as per specifications that are stipulated in the contract.

• Such quantity along with Seller Appointed Surveyor's P205 analysis from composite sample of loaded cargo in Vessel's tanks shall form the basis of the Bill of Lading and the Seller's Invoice. The final test result of P2O5 content will be available within 5 (Five) days after loading completed.

• Cost of determination of quantity & Quality/P2O5 content of the Product loaded on to the vessel at load port by Seller appointed surveyor shall be for Seller's account.

• The quantity and Quality/P2O5 content shall be determined at the discharge port by Independent International Surveyor appointed by Buyer which shall form the basis of claims for shortage or deviation in quality/P2O5 content by Buyer.

• Cost of surveyor appointed by Buyer for determination of quantity and Quality/P2O5 content at the Discharge Port shall be for Buyer's account.

Claims: In case of quantity shortage at discharge port due to sludge in vessel's holds being unable to be pumped out, Seller will reimburse Buyer for that shortage of quantity.

• Buyer shall have the right to raise their quantity shortage claim within 15 days of discharge completion of the vessel, if difference/shortfall in quantity discharged is more than 0.5% of the B/L quantity. If the difference/shortfall between the invoiced quantity and the quantity determined pursuant to quantity assessment by Independent surveyor appointed by Buyer at discharge port exceeds 0.5% of the B/L quantity, then Buyer shall raise their claim on Seller for the difference/shortfall exceeding the tolerance threshold of 0.5% of the B/L quantity and Seller shall settle such claim within 30 days from date of receipt of such claim from Buyer.

• Buyer shall have the right to raise their quality claim within 15 days of discharge completion of the vessel, if difference in P2O5 concentration received as observed after analysis of the Product sample drawn at discharge port by Buyer appointed Surveyor, is more than 0.15% (absolute terms) of the invoiced P2O5 percentage.

• If the results of the analysis of the Product sample drawn at discharge port by Independent surveyor appointed by Buyer indicate that the concentration of P2O5 is more than 0.15% (absolute terms) below the invoiced concentration, then Buyer shall raise their claim on Seller for the difference in excess of 0.15% P2O5 concentration and Seller shall settle the claim within thirty days (30 days) from date of receipt of claim by Buyer. If the results of the Buyer appointed Independent surveyor analysis of the Product sample drawn at discharge port indicate that the P2O5 concentration is within 0.15% of the invoiced concentration, Seller's invoice shall be determinative, final and binding on Buyer for all purposes.

Inspection/Method of P205 Analyses:

• Determination of quantity, method of sampling, quality assessment of Product shall be conducted in accordance to internationally accepted standard practices/procedures.

• For purposes of assessment of quality/P2O5 concentration referred to in this contract, the analysis shall be performed in accordance with the AOAC 2016 Gravimetric Quinolinium Molybdophosphate (962.02) and/or ISO 3706:1976 official methods of analysis, as may be amended from time to time.

Taxes, Duties and Import Permit:

Any/all taxes / charges on cargo at the load port to be for Seller's account and Any/all taxes / charges on cargo at discharging port, including India's GST on freight, to be for Buyer's account. All taxes, duties and charges on Vessel, vessel flag, class, age, crew etc., both at load port & discharge port shall be to Seller / Vessel owner's account. Freight Invoice shall be submitted by seller. Seller confirms that, all necessary licenses and permits required to export the product contracted herein have been obtained. Buyer's confirms that all necessary licenses and permits required to import the product contracted herein have been obtained.

Force majeure:

In the event that the performance of implementation of this contract by either party is prevented or delayed in whole or in part by war(declared or undeclared),, rebellion, civil unrest, strikes, riots or other labor disturbances,, Acts of God acts of governmental authorities, acts or omissions of governmental authorities or epidemics, pandemics, endemics, fire, explosion, floods or major machinery breakdown which leads to shut down of plant or halt of production for at least 7 days or severe weather conditions or earthquake, or acts or threats of terrorism or events beyond control of either party hereof, none of party shall be liable for fulfilment of his obligations under this contract. If, demurrage is incurred at the port of discharge by reasons of epidemics, pandemics, endemics, fire, explosion, storm or by strike, lock-out, stoppage or restraint of labor (inclusive of non-availability of pilot) or any other force majeure circumstance in the Buyer's Plant or Port of discharge, demurrage shall not be applicable subject to providing the certificates & supporting documents issued by port authority certifying the Force Majeure situation. In the event of Force Majeure, both parties shall mutually consult and agree upon the appropriate measures to be taken in order to eliminate and minimize the unfavorable consequences caused by force majeure. Certificate issued by a respective Chamber of Commerce of the incapacitated party's country shall be regarded as the sufficient evidence of existence and duration of Force Majeure. If the situation of Force Majeure continues more than 90 days, either party may terminate this contract with written notice. Buyer recognizes that seller is not the producer of the cargo and any Force Majeure condition affecting the producer of the cargo shall constitute as the Force Majeure condition affecting the seller under this contract. It has been expressly understood that once loading is commenced, force majeure is not applicable. In such a case where Force Majeure situation occurs at Buyer's end after vessel loading is commenced, the Parties (Buyer & Seller) shall consult with a view to ending the Force Majeure and/or to mitigating the effects thereof and/or the course of action to be adopted in the circumstances to mitigate the effects thereof.

Dispute Resolution:

Amicable Settlement: Any dispute arising from or related to this / Contract including any question regarding its existence, validity or termination, shall be notified in writing by one party to the other(s) within 5 days from the date of dispute, and the parties through their Authorized Representatives shall use their best efforts to settle the dispute on an amicable basis within fifteen (15) days from the date of receipt of such notice. If the parties are unable to reach a mutually acceptable resolution with 15 days, the parties hereby agree to submit such dispute at the request of either part to an Arbitrator.

Arbitration: Any dispute which cannot be resolved amicably as above, shall then be referred to and finally resolved by arbitration as per the Arbitration and Conciliation Act 1996, as amended from time to time and rules framed there under, which Rules are deemed to be incorporated by reference into this clause. The arbitration shall be conducted by a sole arbitrator who shall be mutually appointed by both the parties.

The seat and venue of arbitration shall be Bangalore, India. The language of arbitration shall be English. The arbitration award shall be final and binding on both parties. This contract shall be governed by, construed and enforced in accordance with Indian law. The cost of arbitration shall be borne equally by both the parties unless stated otherwise in the Arbitration Award. This clause shall survive the expiration or early termination of this contract.

Confidentiality:

Parties agree to maintain confidentiality of this transaction.

Notice:

Any notice required to be provided hereunder by either party to the other shall be in English and sent in writing at the parties aforesaid address and further may be given, by delivering the same by hand or sending the same by prepaid registered mail, telegram or facsimile or email to the relevant address set forth above or such other address as each Party may notify in writing to the other Party from time to time. Any such notice given aforesaid shall be deemed to be served or received at the time upon delivery (if delivery by hand) or upon actual receipt (if given by telegram or facsimile) or upon email acknowledgement by way of read message.

Assignment:

Neither this contract nor any right, duty or obligation of any party hereunder may be assigned or delegated by any party (in whole or in part) without the prior written consent of the other party hereto and such consent not to be unreasonably withheld.

Consent when not required:

No consent of the other Party shall be required for an assignment by either Party where such assignment is as a result of and/or part of a corporate acquisition or investment, merger or reorganization or corporate restructuring.

Amendment:

No provision in this Contract (including this provision) shall be changed or modified in any way either in whole or in part except by an instrument in writing made after the date of this Contract and signed on behalf of both the parties and which expressly states to amend this Contract.

Entirety of Contract:

This contract shall constitute the entire understanding between Consignee and Seller and supersedes all previous negotiations representations, agreements or commitments with respect to the matters dealt with herein or oral statements which may have been made between the parties. No amendments to this Contract shall be binding unless agreed by the parties in writing. Each Party acknowledges that in entering into this contract it has no relied on any representations, warranties, statements or undertaking except those which are expressly set out herein.

Miscellaneous:

1. The seller warrants product will be supplied as per specs given in the Annexure-1.
2. Wherever not specified in the contract, Incoterms 2020 to govern.
3. The contract shall become effective from the day it is signed by both Buyer & Seller.

Signed & Accepted as Seller on this day
For and on behalf of
Agrifields DMCC

Signed & Accepted as Buyer on this day
For and on behalf of

Najmuddin Bhavnagarwala
Director & COO